

JPM Global Emerging Markets Research Enhanced Index Equity Active UCITS ETF

Tickers: JMRE, JREM

Topline

Monthly returns	
Fund	Benchmark
▼ -3.70%	▼ -3.07%
Benchmark : MSCI Emerging Market Index (Total Return Net)	
Markets July saw emerging markets (EM) decline, underperforming developed markets (DM) and the US. The main drag was the unwind of the artificial intelligence (AI)/tech complex, concentrated in South Korea and, to a lesser extent, Taiwan.	
Helped Stock selection in industrials.	
Hurt Stock selection in information technology.	
Outlook A multi-year US dollar bear cycle, ongoing deficit spending in major economies and an extended AI and infrastructure capital expenditure (CapEx) cycle create a constructive backdrop for EMs and Asia Pacific equities, underpinning earnings growth across markets. Market leadership remains concentrated, though the sharp style rotation in July—away from concentrated AI-linked positions and toward value, quality and income—reflects a broadening of participation rather than a deterioration in the underlying earnings case. Most EM economies excluding China continue to experience an inflationary boom favouring industrials, defence and commodities, while China shows signs of emerging from deflation.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The Sub-Fund aims to achieve a long-term return in excess of MSCI Emerging Market Index (Total Return Net) (the "Benchmark") by actively investing primarily in a portfolio of emerging market companies.

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
London Stock Exchange	JREM	USD	JREM LN	JREM.L	BYXH6W9
London Stock Exchange	JMRE	GBX	JMRE LN	JMRE.L	BF2F621
Borsa Italiana	JREM	EUR	JREM IM	JREM.MI	BYXH782
Deutsche Borse	JREM	EUR	JREM GY	JREM.DE	BDR5M46
SIX SWISS	JREM	USD	JREM SW	JREM.S	BYXH7G0

Month in Review

- **Within technology**, the portfolio's holdings in Korean memory names, Samsung Electronics and SK Hynix, were among the leading detractors. Despite reporting strong earnings, both stocks came under pressure as the AI and high-bandwidth memory segment re-rated aggressively, with the KOSPI marking one of its worst months on record amid record foreign outflows and forced deleveraging from crowded positioning and leveraged ETF unwinds.
- **Chinese companies detracted** as profit taking following an extended period of outperformance coincided with a broad semiconductor correction across Asia. Consequently, the portfolio's holdings in Advanced Micro Fabrication, Montage Technology, Wus Printed Circuit Kunshan and Eoptolink Technology detracted from performance.
- **Stock selection in industrials** was the largest contributor. Most notably, a lack of exposure to SK Hynix proxies, SK Square and SK Inc, contributed as both stocks declined significantly, given the broad market was impacted by the unwinding of leveraged retail positions. Additionally, an overweight position in Korea Shipbuilding & Offshore, one of the world's largest shipbuilding groups, benefited from continued strength in new order intake.
- **Within materials**, overweight positions in Zijin Mining and Gerdau added value. Zijin, one of the world's largest diversified mining companies in China and a leading producer of gold and copper, outperformed on strong profit growth expectations, driven by robust contributions from its gold, copper and lithium businesses. These were underpinned by rising copper and gold prices amid continued supply tightness in global copper markets.
- **Gerdau, Brazil's largest steel producer**, gained from strong demand in North America, particularly from data centre and infrastructure projects, which together with expectations for higher steel pricing, supported confidence in earnings and margin expansion.

Looking Ahead

- **A multi-year USD bear cycle** and deficit spending in major developed economies should remain supportive for EMs and Asia Pacific (APAC), but near-term USD strength, interest rates, inflation persistence, energy prices and geopolitical developments remain key swing factors for sentiment.
- **Although now more advanced**, the extended AI and infrastructure CapEx cycle continues to underpin earnings momentum, although market leadership remains concentrated and the July correction in AI-linked leaders demonstrated that concentration risk can unwind sharply, even against a constructive earnings backdrop.
- **North Asia remains central to the AI supply chain**, with the memory upcycle intact and hyperscaler CapEx expectations still being revised upward, reinforcing demand even as valuations across parts of the complex have moved to elevated levels.
- **China continues to look two-speed** and domestic demand remains subdued, but there is a clearer opportunity set in technology and industrial upgrading (including semiconductor localisation, advanced manufacturing, industrial automation and AI infrastructure), with offshore listed internet names recovering sharply in July as markets rotated and broadened out.

Opinions, estimates, forecasts, projections and statements of financial market trends are based on market conditions at the date of the publication, constitute our judgment and are subject to change without notice. There can be no guarantee they will be met.
All data is sourced by J.P. Morgan Asset Management and is correct as at the date of this commentary.

Performance and positioning

%	1M	3M	YTD	1Y	3Y	5Y	Since inception
Fund	-3.70	4.75	22.34	40.14	19.61	7.83	10.12
Benchmark	-3.07	4.82	20.04	36.44	19.33	8.03	9.79
Excess return (geometric)	-0.64	-0.07	1.92	2.71	0.24	-0.18	0.30

%	2025	2024	2023	2022	2021	2020	2019
Fund	34.58	6.54	8.78	-21.56	-2.63	19.84	21.11
Benchmark	33.57	7.50	9.83	-20.09	-2.54	18.31	18.42
Excess return (geometric)	0.76	-0.89	-0.95	-1.84	-0.09	1.29	2.27

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Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 06.12.2018.

Holdings

TOP 10	Sector	% of assets
Taiwan Semiconductor Manufacturing	Information Technology	9.9
Samsung Electronics	Information Technology	8.2
SK hynix	Information Technology	5.7
Tencent Holdings	Communication Services	3.4
Alibaba Group Holding	Consumer Discretionary	2.1
MediaTek	Information Technology	1.4
Hon Hai Precision	Information Technology	1.0
China Construction Bank	Financials	1.0
Delta Electronics	Information Technology	0.9
HDFC Bank Ltd	Financials	0.9

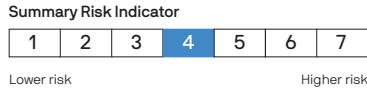
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The value of equity securities may go down as well as up in response to the performance of individual companies and general market conditions, sometimes rapidly or unpredictably. If a company goes through bankruptcy or a similar financial restructuring, its shares in issue typically lose most or all of their value.

Since the instruments held by the Sub-Fund may be denominated in currencies other than the Base Currency, the Sub-Fund may be affected unfavourably by exchange control regulations or fluctuations in currency rates. For this reason, changes in currency exchange rates can affect the value of the Sub-Fund's portfolio and may impact the value of the Shares.

Emerging markets may be subject to increased political, regulatory and economic instability, less developed custody and settlement practices, poor transparency and greater financial risks. Emerging market currencies may be subject to volatile price movements. Emerging market securities may also be subject to higher volatility and lower liquidity than developed market securities respectively.

The Sub-Fund may invest in China A-Shares through the China-Hong Kong Stock Connect Programmes which are subject to regulatory change, quota



The risk indicator assumes you keep the product for 5 years. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

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